Close out the year with confidence

A practical, industry-neutral checklist for business owners preparing their books for tax season.

Tax season goes more smoothly when your books are clean before January, not after. Work through this list in November and December, check off each item, and give your tax professional a complete, organized file.

01 Close out your money

- [ ] Reconcile every business bank and credit card account through December 31 so each transaction matches a statement.
- [ ] Match payment-platform deposits to your sales. Gross sales minus processing fees, refunds, chargebacks, and adjustments should tie to what landed in the bank.
- [ ] Record processing fees separately. Recording only the net deposit can understate sales and hide a deductible cost.
- [ ] Separate personal and business spending, and label owner draws or contributions clearly.
- [ ] Download year-end statements for every account and save them in one organized folder.
- [ ] Watch for information returns from payment processors and make sure they line up with the sales in your books.

02 Team, contractors & payroll

- [ ] Confirm employee names, addresses, identification numbers, and year-to-date payroll totals against your payroll reports.
- [ ] Collect a current Form W-9 from each independent contractor and review whether any payments may require an information return.
- [ ] Keep written agreements and payment records for contractors, vendors, and other service providers.
- [ ] Confirm that reimbursements, bonuses, commissions, and other payments were recorded in the correct accounts.
- [ ] Review payroll tax filings and resolve any notices, differences, or unpaid balances before year-end.

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03 Sales tax, inventory & prepaid sales

[ ] Count inventory on December 31, if applicable, and record quantities and cost using a consistent method.

[ ] Check that sales tax collected matches what you filed, and submit the final return of the year on time.

[ ] List unused gift cards, packages, retainers, subscriptions, and other payments for goods or services not yet delivered.

[ ] Review deposits and customer credits so revenue is recorded in the correct period.

04 Expenses & major purchases

[ ] Clear out uncategorized transactions. “Ask My Accountant” and “Uncategorized” should be at zero or fully explained.

[ ] Gather invoices for major purchases, equipment, technology, vehicles, improvements, and other long-term assets.

[ ] Gather receipts for easy-to-miss costs such as education, licenses, insurance, software, subscriptions, supplies, and purchases made personally for the business.

[ ] Update your mileage and expense logs for business travel and reimbursable costs.

[ ] Talk to your tax professional before year-end about timing purchases, prepaying expenses, or making retirement contributions.

05 Reports to hand your tax professional

[ ] Profit & Loss statement for January through December.

[ ] Balance Sheet as of December 31.

[ ] Payroll summary for the year, plus copies of required employee and contractor forms.

[ ] Loan and financing statements showing year-end balances and interest paid.

[ ] A list of equipment and major purchases, plus your year-end inventory count, if applicable.

[ ] Copies of notices, tax payments, and prior-year items that still need attention.

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06 Set up the new year for success

- [ ] Review your numbers: which products, services, customers, and team activities were most profitable? Use the insights to plan pricing and priorities.
- [ ] Open or review a tax-savings account and move a set percentage of sales into it on a regular schedule.
- [ ] Check renewal dates for business registrations, permits, licenses, insurance policies, and subscriptions.
- [ ] Put a monthly bookkeeping routine on the calendar so next year-end takes an hour, not a weekend.
- [ ] Create a simple folder structure for statements, receipts, payroll, sales tax, and tax documents.

Key dates for the tax year

Use this as a planning prompt and confirm the exact deadlines that apply to your entity, location, filing method, and tax professional. Dates can shift for weekends, holidays, extensions, or local requirements.

Timing	What to review
Mid-January	Fourth-quarter estimated tax payment, if applicable.
Late January	Employee and contractor information returns; final payroll filings for the prior year.
Early spring	Partnership and S-corporation returns, if applicable.
Mid-April	Individual and C-corporation returns, if applicable.
Monthly / quarterly	Sales tax, payroll, and other recurring filings based on your location and filing schedule.

Not sure your books are ready for tax season?

Book a free 30-minute Books Health Check to identify what needs attention before January.

Schedule your free session on Calendly

This checklist is general information, not tax or legal advice. Tax rules change and depend on your situation, so confirm details with your CPA or other qualified tax professional.